



THE TIME IS RIPE...

Why it makes sense to introduce a digital currency now in India

- 1 Digital payments are growing by leaps and bounds, with millennials increasingly using such modes
- 2 New form of private money emerging globally; stablecoins linked to US dollar are very popular
- 3 CBDC to counter cryptos and other private digital currencies
- 4 Digital rupee to replace cash in the economy with digital currency and discourage cryptos
- 5 More innovations to take place on top of CBDC
- 6 CBDC to lead to huge savings, reduce wastage and make the monetary system more efficient
- 7 Digital rupee will lead to better economic management with end-use records of money transactions; also help in tax compliance



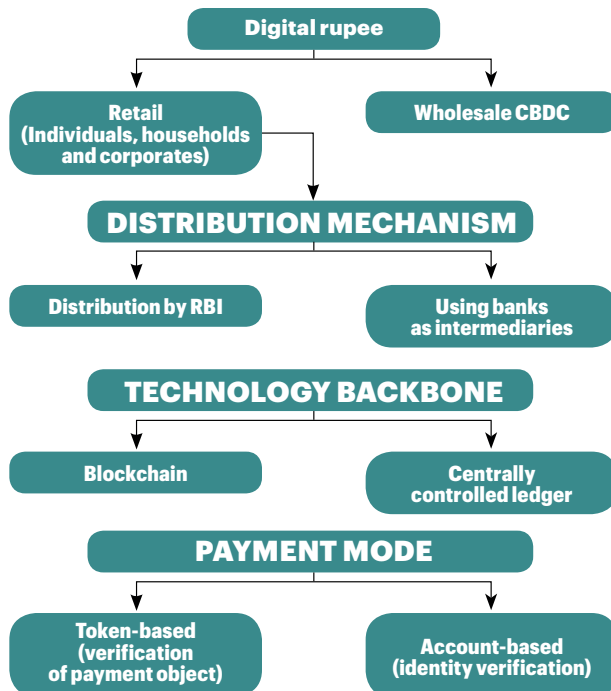
...BUT CHALLENGES REMAIN

The difficulties that CBDC would face

- 1 People at bottom of the pyramid are not very financially literate
- 2 CBDC faces competition from existing mobile wallets like Google Pay; value proposition would matter
- 3 The cash economy is still strong despite demonetisation and digitisation
- 4 Small countries have implemented CBDCs but big ones like the US and China are still to take the plunge
- 5 Broadband access and 24-hour internet connectivity are pain points
- 6 Any incentive by way of interest rate on CBDC to impact broad money; monetary policy to get impacted

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CBDC: OPTIONS BEFORE RBI



Source: RBI



₹30.18

LAKH CRORE

THE AMOUNT OF FIAT CURRENCY IN THE SYSTEM IN MARCH 2022; CBDC WILL BE A PART OF THIS

₹172

LAKH CRORE

THE AMOUNT OF BANK MONEY (DEPOSITS AND LOANS OR BROAD MONEY) IN THE SYSTEM IN MARCH 2022

Source: RBI